deemed to be a type of value investing. Remember, companies that pay dividends are typically quite profitable. Moreover, companies are not mandated to pay dividends and it is a voluntary choice made by the company and its board of directors to pay dividends. So, when investing for income, make sure that you are buying into a company that has a policy for paying out dividends.

Small-cap Investing

Similar to growth stocks, small-cap stocks focus on companies that have smaller market capitalisation than most stocks but have the potential of a company to show major growth. Think of it as investing in youth, as many small-cap companies have recent businesses that have the potential to become a large-cap in the future. These are companies with a market capitalisation of less than Rs 700 crore and account for a significant number of listed entities. Think of them as companies beyond the top 250 by way of market capitalisation.

Naturally, the investment risk is high with these companies and investors must be prepared to face volatility when investing in these and should be prepared for long holding periods compared to large and mid-cap space. Likewise, there is often little research done on these companies in public space, making information-gathering not that easy. As these take a longer time to unleash their potential, chances are that many may not perform for several years, making it difficult to choose a small-cap stock.

These have all the traits of a growth company, barring its market capitalisation. Moreover, revenues and profits of small-cap companies tend to fluctuate more than those of mid- or large-cap companies due to a lower ability to withstand major market or economic downturns. However, the potential for growth in small-cap is also greater due to a lower base of revenues and profits. Due to these factors, share prices of small-cap companies tend to be more volatile. Hence, select a company wisely and harvest growth over time.



PETER LYNCH

"IF YOU DON'T STUDY ANY COMPANIES, YOU HAVE THE SAME SUCCESS BUYING STOCKS AS YOU DO IN A POKER GAME IF YOU BET WITHOUT LOOKING AT YOUR CARDS"

Passive Investing

Passive investing involves putting money in indices through ETFs (exchange-traded funds) or available index funds through the mutual fund route. It is a long-term investment strategy that is based on the fact that in the long run, the broad index outperforms select stocks and mutual funds. It is a long-term investment strategy for building wealth by buying securities that mirror stock market indexes and holding them. These are low-risk, because the investment is in an index that mirrors select stocks or a sector and not an individual stock. It basically replicates the returns of an index that it mirrors and doesn't try to outperform the index.

This is a very useful investment strategy for new and risk-averse investors who are looking for returns in the long run with low volatility. It follows the buy-and-hold philosophy which avoids frequent buying and selling and seeks to invest in securities likely to grow over the long term. Passive investors bet on steady market increases which are opposite to what active investing is all about—beating the index.

A GAME PLAN FOR SUCCESSFUL INVESTING

It is rare to embark on a major task without a degree of planning. Investing is no different and successful investing requires adopting long-term strategies that have withstood the test of time. We often take the plunge without any real grasp of the investment strategy that's most likely to align with our current circumstances and future needs. Eventually, every investor has to find their own personal stock investment strategies that best suit their individual wants or needs.

The investing strategy or strategies you employ will often change during the course of your life as your financial situation and goals shift. What is important is to have an investment strategy. It will help you from holding on to poor portfolios and developing efficient ones to increase the chances of investing success. Having the right investment strategy, the one that's right for you, will significantly improve your chances of success. ■

ACTIVE VERSUS PASSIVE INVESTING

An **active investing** style is one where investment managers select specific stocks and try to time the market to seek better returns for investors. Actively managed funds typically charge higher fees than passively managed funds. So, if you are comfortable with more investment risk and have a long time until you need to use the invested money, active investing may be for you.

In contrast, **passive investing** is all about invest and forget. Diversified portfolios can be created and left for a longer time to ride the market. Passive investing, especially through ETFs, costs less compared to active investing and justifies a role in a portfolio for long-term investing. Moreover, if you have less comfort with investment risk, passive investing may be for you.